

Looking for 100-baggers means you're not going to care much about what the Federal Reserve is doing. It means you're not going to buy a stock because you like the chart (next month's chart might give us a whole different signal). Paying attention to these things is a distraction.

Investing for 100-baggers means you have to plant your feet firmly in the ground and stand still.

In this chapter, I have a variety of investing ideas that will help you adopt the needed 100-bagger mindset.

Don't Chase Returns

The year 2014 was one of the worst ever for stock pickers. But almost everyone thinks about this in the wrong way. And it could cost you a lot of money in the long run if you think this way too — especially if you let it distract you from your pursuit of 100-baggers.

First, here's some evidence from near the end of that year:

- Bank of America Merrill Lynch research shows fewer than 20 percent of active managers were ahead of the market that year, the worst performance of more than a decade.
- Bill Alpert, at *Barron's*, says, "Less than 15% of the money managers who actively select stocks are ahead of their benchmarks."
- Denys Glushkov, a researcher at Penn, says only 9.3 percent of all mutual funds that invest in big US stocks such as those in the S&P 500 were ahead of the index through September 30. The previous low was 12.9 percent in 1995 and the average over the previous quarter-century is 38.6 percent.

Glushkov says that 2014 "is likely to enter the record books" as the year when active managers — as opposed to index funds—"delivered their worst performance relative to the index, net of fees, since at least 1989."

And they did.

Faced with that experience, people poured money into passive funds — such as S&P index funds. As nearly everyone knows, the